Geopolitical Distance and Targeted Trade

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Abstract

Trade policy in advanced economies is closely intertwined with concerns about technology and geopolitical rivalry. Using product-level data on export-related trade interventions, we characterize how contemporary export-side interventions are allocated across products, destinations, and bilateral trade relationships. We show that export controls are broad in regulatory scope but economically concentrated on high-value trade flows. Export controls disproportionately target high-technology products and economically important trade relationships, while geopolitical distance shapes their allocation in a nonlinear manner, with the strongest associations for high-technology trade between geopolitical rivals. Finally, a decomposition of targeting patterns shows that modern export controls are organized primarily around products rather than destinations, consistent with a technology-centered regulatory framework.

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Introduction

Recent policy developments have placed technology and economic security at the center of international trade policy. More broadly, industrial policy has expanded substantially across countries since the 2007-2009 Global Financial Crisis, with governments making increasing use of trade, financial, and industrial policy instruments to pursue strategic objectives (Evenett et al., 2025). In advanced economies, especially in the United States, export controls, licensing requirements, investment screening, and other non-tariff interventions have become prominent policy instruments used to regulate the international diffusion of strategically important technologies (Lam and Santacreu, 2025). These developments raise the

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following natural question: *How are contemporary export controls allocated across products, countries, and trading relationships, and what role does geopolitics play in shaping their application?*

This article provides an empirical characterization of how export-related trade interventions are allocated across products, destinations, and bilateral trade relationships. Using newly assembled data from the Global Trade Alert New Industrial Policy Observatory (GTA–NIPO), we observe whether an origin–destination–product line is subject to at least one active export-side policy intervention, including export bans, licensing requirements, and related measures.

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